

Dollar General Corporation

Recommendation **BUY** ★★★★★

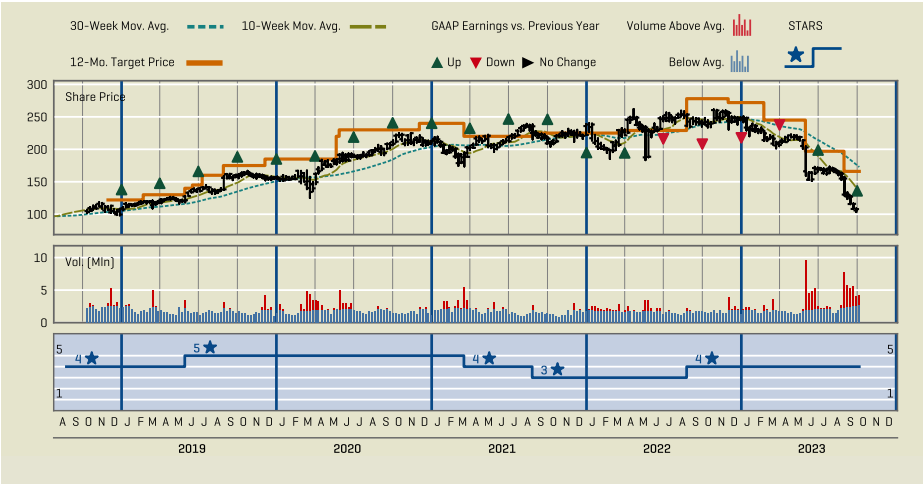
Price **USD 103.67** [as of market close Oct 06, 2023] **12-Mo. Target Price** **USD 166.00** **Report Currency** **USD** **Investment Style** **Large-Cap Blend**

Equity Analyst **Arun Sundaram, CFA, CPA**

GICS Sector Consumer Staples **Summary** Dollar General is among the largest and fastest growing U.S. retailers with more than 19,000 stores.
Sub-Industry Consumer Staples Merchandise Retail

Key Stock Statistics [Source: CFRA, S&P Global Market Intelligence (SPGMI), Company Reports]									
52-Wk Range	USD 261.59 - 102.47	Oper.EPS2024E	USD 8.09	Market Capitalization[B]	USD 22.75	Beta	0.37		
Trailing 12-Month EPS	USD 9.76	Oper.EPS2025E	USD 9.20	Yield [%]	2.28	3-yr Proj. EPS CAGR[%]	-3		
Trailing 12-Month P/E	10.62	P/E on Oper.EPS2024E	12.81	Dividend Rate/Share	USD 2.36	SPGMI's Quality Ranking	A		
USD 10K Invested 5 Yrs Ago	10,482.0	Common Shares Outstg.[M]	219.00	Trailing 12-Month Dividend	USD 2.32	Institutional Ownership [%]	93.0		

Price Performance



Source: CFRA, S&P Global Market Intelligence
Past performance is not an indication of future performance and should not be relied upon as such.
Analysis prepared by **Arun Sundaram, CFA, CPA** on Sep 05, 2023 02:20 PM ET, when the stock traded at **USD 131.77**.

Highlights

- ▶ We project revenues rising 2.9% in FY 24 (Jan.) following 10.6% growth in FY 23. DG stores primarily serve rural areas, catering to consumers with an average annual income of less than \$40,000. As a result, DG's core customer is particularly susceptible to weak economic conditions. We're currently seeing DG's core customer pull back on discretionary spending, a trend that has recently been amplified by the conclusion of SNAP emergency allotments, lower tax refunds, and elevated food and gas prices.
- ▶ We project 6.8% operating margins in FY 24, down 200 bps Y/Y, driven by negative sales mix, increased shrink (e.g., theft) and investments in store labor hours and repairs and maintenance. Longer term, however, we're positive on DG growing operating margins to above 10%, driven by initiatives like DG Fresh, DG Media, DG Wellbeing, private tractor fleet, and distribution center productivity.
- ▶ DG plans to open 990 new U.S. stores in FY 24, down from its previous target of 1,050, as the company plans to open less pOpshelf stores in 2023 [90 planned versus the previous expectation of 150]. pOpshelf stores mainly sell discretionary items and skew to younger, wealthier, and more suburban shoppers.

Investment Rationale/Risk

- ▶ Our opinion is Buy, as we believe DG shares are attractively valued following the steep sell-off this year. FY 24/CY 23 has shaped up to be a challenging year, driven by weak consumer discretionary spending, excess inventory [resulting in more markdowns], retail theft, and heavy investments in store labor. We see FY 25/ CY 24 being a stronger year, as various transitory headwinds should abate (e.g., shrink, markdowns), while comp sales should strengthen alongside improving store traffic trends. Longer term, we see plenty of unit growth runway in the U.S. and abroad (e.g., Mexico) and believe DG can create sustainable competitive advantages as it executes on various initiatives (e.g., pOpshelf, DG Fresh, DG Media, DG Wellbeing, etc.).
- ▶ Downside risks mainly include weak macroeconomic conditions and rising competitive activity from other discount retailers (e.g., Family Dollar and Walmart).
- ▶ Our 12-month target of \$166 is 18x our FY 25 (Jan.) EPS of \$9.20, a justifiable discount to its long-term forward P/E of about 20x. While we see EPS falling 24% in FY 24 to \$8.09, we forecast 14% EPS growth in FY 25 to \$9.20 [consensus is \$8.92].

Analyst's Risk Assessment

LOW	MEDIUM	HIGH
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Our risk assessment reflects the fragmented and highly competitive discount retail industry, where location, price, product quality, and customer service are primary drivers of store sales. Our assessment is also supported by our positive outlook on general merchandisers, which are traditionally lower beta, more defensive in nature, and have a high proportion of sales generated from essentials, such as food and consumables, amid a cautionary consumer backdrop.

Revenue/Earnings Data

Revenue (Million USD)					
	1Q	2Q	3Q	4Q	Year
2025	E 9,875	E 10,453	E 10,512	E 10,708	E 41,547
2024	9,343	9,796	E 9,806	E 9,989	E 38,933
2023	8,751	9,426	9,465	10,203	37,845
2022	8,401	8,650	8,518	8,651	34,220
2021	8,448	8,684	8,200	8,415	33,747
2020	6,623	6,982	6,991	7,158	27,754

Earnings Per Share (USD)

	1Q	2Q	3Q	4Q	Year
2025	E 2.17	E 2.39	E 2.00	E 2.64	E 9.20
2024	2.34	2.13	E 1.46	E 2.16	E 8.09
2023	2.41	2.98	2.33	2.96	10.68
2022	2.82	2.69	2.08	2.57	10.17
2021	2.56	3.12	2.31	2.62	10.61
2020	1.48	1.74	1.42	2.10	6.65

Fiscal Year ended Jan 31. EPS Estimates based on CFRA's Operating Earnings; historical earnings are adjusted. In periods where a different currency has been reported, this has been adjusted to match the current quoted currency.

Dividend Data

Amount (USD)	Date Decl.	Ex-Div. Date	Stk. of Record	Payment Date
0.5900	Aug 30	Oct 06	Oct 10	Oct 24 '23
0.5900	May 30	Jul 10	Jul 11	Jul 25 '23
0.5900	Mar 16	Apr 10	Apr 11	Apr 25 '23
0.5500	Nov 30	Dec 30	Jan 03	Jan 17 '23

Dividends have been paid since 2015 . Source: Company reports
Past performance is not an indication of future performance and should not be relied as such.
Forecasts are not a reliable indicator of future performance.
Dividends paid in currencies other than the Trading currency have been accordingly converted for display purposes.



Dollar General Corporation

Business Summary Jun 02, 2023

CORPORATE OVERVIEW. Dollar General Corporation (DG) is among the largest discount retailers in the U.S. As of March 3, 2023, DG employed more than 170,000 employees and operated 19,147 stores across 47 states, with the greatest concentration in the southern, southwestern, midwestern, and eastern regions of the United States. In FY 23 (Jan.), DG opened a net 974 new stores, up from 953 in FY 22, 899 in FY 21, and 836 in FY 20.

DG offers national brand and private brand products at everyday low prices (typically \$10 or less). Roughly 20% of DG’s assortment is priced at \$1 or less. DG groups its merchandise into four categories: 1) Consumables (80% of FY 23 sales); 2) Seasonal (11%); 3) Home product (6%); and 4) Apparel (3%). Seasonal and home products generally account for the highest gross profit margins, while consumables (notably perishables) typically accounts for the lowest.

DG has a broad offering, but maintains a limited number of items per category, which drives average costs down. DG’s two largest suppliers accounted for approximately 18% of total purchases in FY 23. DG directly imported approximately 9% of its purchases in FY 23. However, since many of DG’s domestic vendors import products or components from overseas, DG has much more indirect exposure to oversea markets.

Most of DG’s merchandise flows through its distribution centers and is delivered to its stores by its own private fleet and by third-party trucking firms. To further optimize its cost structure and facilitate greater operational control within its supply chain, DG more than doubled the size of its private tractor fleet in FY 23 to more than 1,600 tractors. DG plans to continue expanding the size of its fleet to drive additional savings, with the goal of having more than 2,000 tractors in the fleet by FY 24.

The typical Dollar General store is operated by a store manager, one or more assistant store managers, and three or more sales associates. DG stores generally feature a low-cost, no frills building with limited maintenance capital, low operating costs, and a focused merchandise offering within a broad range of categories, which allows DG to deliver low retail prices while generating strong cash flows and capital investment returns. DG stores currently average approximately 7,500 square feet of selling space, and approximately 80% of its stores are located in towns of 20,000 or fewer people. In FY 22, DG transitioned into a new store format, which has approximately 8,500 square feet of selling space.

MARKET PROFILE. DG operates in the highly competitive discount retail industry, with competition from other general merchandise, discount, food, furniture, arts and crafts, and dollar store retailers, that market both in-store and online. DG’s main competitors include Family Dollar, Dollar Tree, Big Lots, Fred’s, 99 Cents Only, and various local, independent operators, as well as Walmart, Target, Kroger, Aldi, Lidl, Walgreens, CVS, and Rite Aid.

DG customers seek value and convenience. Depending on their financial situation and geographic proximity, customers’ reliance on Dollar General varies from fill-in shopping, to making periodic trips to stock up on household items, to making weekly or more frequent trips to meet most essential needs. DG generally locates stores and plans merchandise selections to best serve the needs of its core customers, the low- and fixed-income households often underserved by other retailers (including grocers).

STRATEGIC INITIATIVES. DG looks to implement and invest in certain strategic initiatives that it believes will help drive profitable sales growth, both with new and existing customers, and capture long-term growth opportunities. This includes leveraging and developing digital tools and technology, such as its Dollar General app. Additionally, DG launched a partnership with a third-party delivery service during FY 22, which is now available in the majority of its stores. DG also has an advertising business called DG Media Network, which connects brand partners with its customers.

As part of DG’s non-consumables initiative, it will offer a new, differentiated, and limited assortment of products that will change throughout the year. This initiative should help improve sales and gross margins. At the end of FY 22, DG completed the rollout of the non-consumables initiative to the vast majority of its stores.

In 2020, DG introduced pOpshelf, a unique retail concept that incorporates certain of the lessons learned from the non-consumables initiative in a differentiated format that is focused on categories such as seasonal and home décor, health and beauty, home cleaning supplies, and party and entertainment goods. At the end of FY 23, DG operated 140 stand-alone pOpshelf locations and 40 pOpshelf store-within-a-store concepts within existing Dollar General Market stores. DG is targeting nearly 300 stand-alone pOpshelf stores by the end of FY 24, and approximately 1,000 stores by the end of FY 26. pOpshelf customers tend to skew younger, wealthier, and more suburban than DG’s typical shopper.

In FY 22, DG completed the rollout of the “DG Fresh” initiative, a self-distribution model for frozen and refrigerated products that is designed to reduce product costs, enhance item assortment, improve in-stock position, and enhance sales. DG Fresh now wholly or partially serves essentially all stores across the chain. Moving forward, DG plans to focus on additional optimization of the distribution footprint and product assortment within DG Fresh to further drive profitable sales growth.

DG expanded internationally in February 2023 by opening its first Mi Super Dollar General store in Mexico.

FINANCIAL TRENDS. From 1990 (FY 91) through 2020 (FY 21), DG achieved 31 consecutive years of positive same-store sales growth. Following unusually high sales results in FY 21 during the height of the COVID-19 pandemic, DG did not achieve positive same-store sales growth in FY 22. However, it achieved positive same-store sales growth once again in FY 23 at 4.3%.

DG repurchased 11.6 million shares of common stock for \$2.7 billion in FY 23 vs. 12.1 million shares for \$2.5 billion in FY 22. DG has paid a quarterly cash dividend since 2015.

Corporate information

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Officers

Independent Chairman of the Board	Executive VP & CFO
M. M. Calbert	K. M. Dilts
VP & CTO	Executive VP & General Counsel
J. Elmore	R. M. Taylor
CEO & Director	Senior VP & Chief Accounting Officer
J. C. Owen	A. C. Elliott

Board Members

A. M. Chadwick	P. D. Fili-Krushel
D. A. Sandler	R. E. Santana
D. P. Rowland	T. I. McGuire
J. C. Owen	T. J. Vasos
M. M. Calbert	W. F. Bryant

Domicile

Tennessee

Auditor

Ernst & Young LLP

Founded

1939

Employees

170,000

Stockholders

2,747



Dollar General Corporation

Quantitative Evaluations					
Fair Value Rank	1	2	3	4	5
LOWEST HIGHEST Based on CFRA's proprietary quantitative model, stocks are ranked from most overvalued (1) to most undervalued (5).					
Fair Value Calculation	USD 53.19	Analysis of the stock's current worth, based on CFRA's proprietary quantitative model suggests that DG is overvalued by USD 50.48 or 48.69%			
Volatility	LOW		AVERAGE		HIGH
Technical Evaluation	NEUTRAL	Since August, 2023, the technical indicators for DG have been NEUTRAL"			
Insider Activity	UNFAVORABLE		NEUTRAL		FAVORABLE

Expanded Ratio Analysis				
	2023	2022	2021	2020
Price/Sales	1.36	1.41	1.44	1.43
Price/EBITDA	12.73	12.47	11.78	13.93
Price/Pretax Income	16.56	15.73	14.30	17.98
P/E Ratio	21.36	20.09	18.32	22.79
Avg. Diluted Shares Outstg. [M]	226.30	235.81	250.08	258.05
Figures based on fiscal year-end price				
Key Growth Rates and Averages				
Past Growth Rate [%]	1 Year	3 Years	5 Years	
Net Income	0.70	12.15	9.44	
Sales	10.59	10.89	10.03	
Ratio Analysis (Annual Avg.)				
Net Margin [%]	6.38	7.09	6.73	
% LT Debt to Capitalization	30.21	23.65	23.52	
Return on Equity [%]	40.94	39.27	33.85	

Company Financials Fiscal year ending Jan 31										
Per Share Data [USD]	2023	2022	2021	2020	2019	2018	2017	2016	2015	2014
Tangible Book Value	0.02	3.15	4.66	4.62	3.39	2.18	-0.48	-0.56	0.56	-0.45
Free Cash Flow	1.88	7.66	11.48	5.66	5.31	4.24	3.71	3.01	3.13	2.09
Earnings	10.68	10.17	10.62	6.64	5.97	5.63	4.43	3.95	3.49	3.17
Earnings [Normalized]	10.68	10.17	10.62	6.73	5.97	4.54	4.49	3.96	3.50	3.20
Dividends	2.20	1.68	1.44	1.28	1.16	1.04	1.00	0.88	N/A	N/A
Payout Ratio [%]	20.44	16.35	13.41	19.13	19.28	18.38	22.47	22.17	NM	NM
Prices: High	262.20	240.14	225.25	166.98	118.45	105.82	96.88	81.42	71.78	62.93
Prices: Low	183.25	173.50	125.00	108.74	85.54	65.97	66.50	59.75	53.00	43.35
P/E Ratio: High	24.60	23.60	21.20	24.80	19.80	23.30	21.60	20.60	20.50	19.70
P/E Ratio: Low	17.20	17.10	11.80	16.20	14.30	14.50	14.80	15.10	15.10	13.50
Income Statement Analysis [Million USD]										
Revenue	37,845	34,220	33,747	27,754	25,625	23,471	21,987	20,369	18,910	17,504
Operating Income	3,330	3,223	3,557	2,337	2,120	2,016	2,070	1,946	1,785	1,745
Depreciation + Amortization	725.00	641.00	574.00	505.00	454.00	404.00	380.00	352.00	342.00	333.00
Interest Expense	211.00	158.00	150.00	101.00	100.00	97.00	98.00	87.00	88.00	89.00
Pretax Income	3,117	3,063	3,404	2,202	2,015	1,907	1,966	1,853	1,681	1,628
Effective Tax Rate	22.50	21.70	22.00	22.20	21.10	19.30	36.30	37.10	36.60	37.00
Net Income	2,416	2,399	2,655	1,713	1,589	1,539	1,251	1,165	1,065	1,025
Net Income [Normalized]	1,949	1,916	2,129	1,398	1,263	1,199	1,233	1,162	1,061	1,035
Balance Sheet and Other Financial Data [Million USD]										
Cash	382.00	345.00	1,377	240.00	235.00	267.00	188.00	158.00	580.00	506.00
Current Assets	7,581	6,304	6,914	5,178	4,663	4,248	3,678	3,432	3,533	3,206
Total Assets	29,083	26,327	25,863	22,825	13,204	12,517	11,672	11,258	11,209	10,868
Current Liabilities	5,888	5,979	5,711	4,543	3,016	2,965	2,623	1,996	1,962	1,812
Long Term Debt	7,009	4,172	4,131	2,912	2,863	2,605	2,711	2,969	2,624	2,747
Total Capital	23,203	20,508	20,252	18,399	9,282	9,132	8,618	8,348	8,435	8,225
Capital Expenditures	1,561	1,070	1,028	785.00	734.00	646.00	560.00	505.00	374.00	538.00
Cash from Operations	1,985	2,866	3,876	2,238	2,144	1,802	1,605	1,392	1,327	1,213
Current Ratio	1.29	1.05	1.21	1.14	1.55	1.43	1.40	1.72	1.80	1.77
% Long Term Debt of Capitalization	30.20	20.30	20.40	15.80	30.80	28.50	31.50	35.60	31.10	33.40
% Net Income of Revenue	6.40	7.00	7.90	6.20	6.20	6.60	5.70	5.70	5.60	5.90
% Return on Assets	7.51	7.72	9.13	8.11	10.30	10.42	11.28	10.83	10.11	10.27
% Return on Equity	40.90	37.10	39.70	26.10	25.30	26.70	23.20	21.00	19.20	19.70

Source: S&P Global Market Intelligence. Data may be preliminary or restated; before results of discontinued operations/special items. Per share data adjusted for stock dividends; EPS diluted. E-Estimated. NA-Not Available. NM-Not Meaningful. NR-Not Ranked. UR-Under Review.

Dollar General Corporation**Sub-Industry Outlook**

CFRA's 12-month fundamental outlook for the Consumer Staples Merchandise Retail sub-industry is neutral. On the positive side, we see the sub-industry benefiting from consumers shopping closer to home and seeking value amid inflationary pressures. We are also bullish on the sub-industry's evolution beyond core retail, including expansion into higher-margin service streams (e.g., advertising, fulfillment, subscriptions, data monetization). Our view is tempered by ongoing wage pressures, lingering inventory issues (including a recent uptick in theft and organized crime), intensifying promotions/discounts, and weaker consumer spending within more discretionary categories (e.g., apparel, electronics, home goods, etc.).

The sub-industry prides itself on strong value offerings and price gaps relative to other retailers, particularly retailers like Walmart, Costco, and Target. These retailers also act as a one-stop shop for consumers given the depth and breadth of products and services offered, and are also conveniently located close to the consumer. For example, approximately 90% of the U.S. population lives within 10 miles of a Walmart store. Lastly, many of these retailers also have discounted fuel stations (e.g., Walmart and Costco), which will be another tailwind for store foot traffic given inflationary pressures on consumer budgets. We expect to see strong transaction growth and foot traffic in 2023.

The sub-industry is currently facing headwinds from a shift in consumer spending to consumables and away from discretionary products. This is creating gross margin pressure because discretionary products are typically high-margin sales versus consumables like grocery, which are typically low-margin sales. This shift in consumer spending has also created some excess inventory issues, forcing some retailers to offer steep price discounts and hold back on placing more orders until they have cleared the unwanted stock. We expect an intensive promotional environment in 2023, which could be another gross margin headwind.

Higher prices carried the top line for the sub-industry throughout 2022. In 2023, we don't expect to see as much of a benefit from higher prices as comparable figures get tough and the industry pushes more promotions and discounts to consumers. Also, if inflationary pressures ease, we could start to see retailers start cutting prices to remain competitive, which could be a sales headwind unless the financial impact is more than offset by stronger transaction/volume growth.

One major tailwind in 2023 could be lower supply chain costs, particularly when it comes to ocean freight and domestic transportation. The global economy is now facing too many shipping containers, a stark difference from the past few years when there was a massive shortage of containers. The result is plunging oversea freight rates, which is a positive for the sub-industry given the sheer amount of goods they import. We should also see domestic transportation rates come down as a result of weakening demand and increased capacity.

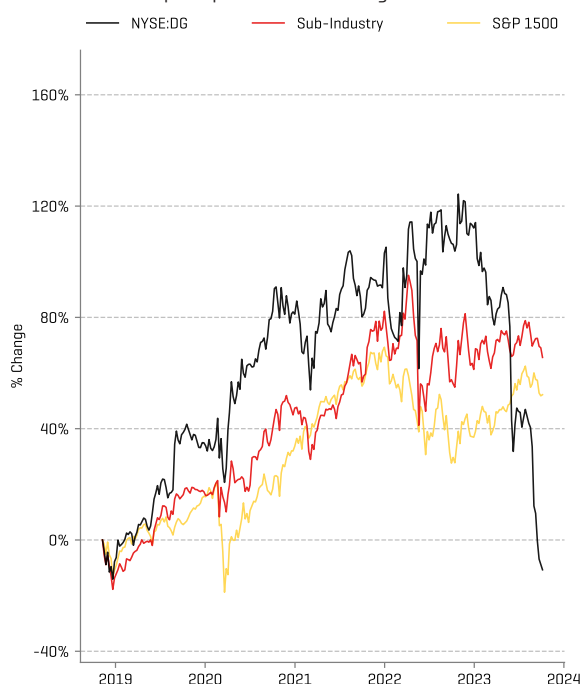
Year-to-date through June 30, 2023, the Consumer Staples Merchandise Retail sub-industry advanced 7.5% compared to the 0.4% gain for the Consumer Staples sector and 15.2% appreciation to the S&P 1500. In 2022, the Hypermarkets & Super Centers sub-industry fell 11.5% compared to the 3.2% decline for the Consumer Staples sector and the 19.1% decline for the S&P 1500.

/ Arun Sundaram, CFA, CPA

Industry Performance**GICS Sector: Consumer Staples****Sub-Industry: Consumer Staples Merchandise Retail**

Based on S&P 1500 Indexes

Five-Year market price performance through Oct 07, 2023



NOTE: A sector chart appears when the sub-industry does not have sufficient historical index data.

All Sector & Sub-Industry information is based on the Global Industry Classification Standard (GICS).

Past performance is not an indication of future performance and should not be relied upon as such.

Source: CFRA, S&P Global Market Intelligence

Sub-Industry: Consumer Staples Merchandise Retail Peer Group*: Consumer Staples Merchandise Retail

Peer Group	Stock Symbol	Exchange	Currency	Recent Stock Price	Stk. Mkt. Cap. (M)	30-Day Price Chg. (%)	1-Year Price Chg. (%)	P/E Ratio	Fair Value Calc.	Yield (%)	Return on Equity (%)	LTD to Cap (%)
Dollar General Corporation	DG	NYSE	USD	106.38	23,348.0	-16.4	-56.2	11.0	53.19	2.2	34.7	30.0
BJ's Wholesale Club Holdings, Inc.	BJ	NYSE	USD	68.34	9,139.0	5.2	-5.4	18.0	55.79	N/A	48.7	10.3
Costco Wholesale Corporation	COST	NasdaqGS	USD	569.52	252,179.0	4.6	18.6	40.0	528.42	0.7	27.5	15.8
Dada Nexus Limited	DADA	NasdaqGS	USD	4.21	1,102.0	-26.5	-22.5	NM	N/A	N/A	-18.1	N/A
Dollar Tree, Inc.	DLTR	NasdaqGS	USD	106.41	23,411.0	-8.5	-25.5	19.0	147.91	N/A	14.0	17.7
PriceSmart, Inc.	PSMT	NasdaqGS	USD	74.47	2,284.0	-1.6	23.9	20.0	N/A	1.2	11.4	9.2
Target Corporation	TGT	NYSE	USD	105.15	48,538.0	-16.0	-32.8	14.0	103.68	4.2	29.9	48.2
Walmart Inc.	WMT	NYSE	USD	159.08	428,174.0	-0.7	19.7	24.0	127.66	1.4	16.3	25.5

*For Peer Groups with more than 10 companies or stocks, selection of issues is based on market capitalization.

NA-Not Available; NM-Not Meaningful.

Note: Peers are selected based on Global Industry Classification Standards and market capitalization. The peer group list includes companies with similar characteristics, but may not include all the companies within the same industry and/or that engage in the same line of business.

Dollar General Corporation

Analyst Research Notes and other Company News

August 31, 2023

12:51 PM ET... CFRA Keeps Buy Opinion on Shares of Dollar General Corporation [DG 136.62****]:

We cut our 12-month target to \$166 from \$197, 18x our FY 25 [Jan.] EPS of \$9.20 [cut from \$12.05; FY 24's cut to \$8.09 from \$10.38] vs. the 20x historical average. FQ2 [Jul-Q] adj.-EPS of \$2.13 [-28% Y/Y] missed by \$0.33 on comp sales growth of -0.1% vs. the +0.8% consensus. It was another challenging quarter, characterized by soft sales trends and challenges related to shrink, inventory, and labor. DG once again cut its full-year outlook, now seeing EPS down 34% to 22% [was -8% to flat]. FY 24/CY 23 is shaping out to be a heavy investment year, as DG is working to reduce inventory and increase labor hours. The positive, however, is that DG should be in a stronger position heading into FY 25/CY 24. We also have confidence in the newly-revised outlook, which should act as a floor on the shares, now down about 45% YTD. Longer term, we believe DG has many levers to return to 9%-10% operating margins [e.g., pOps shelf, DG Fresh, DG Media Network, DG Wellbeing, private fleet, private label]. We keep a Buy rating. / Arun Sundaram, CFA, CPA

June 01, 2023

01:04 PM ET... CFRA Keeps Buy Opinion on Shares of Dollar General Corporation [DG 162.34****]:

We cut our 12-month target to \$197 from \$245, 19x our FY 24 [Jan.] EPS of \$10.38 [cut from \$11.27; FY 25 cut to \$12.05 from \$12.83]. FQ1 [Apr-Q] EPS of \$2.34 [-3% Y/Y] missed by \$0.05 on same-store sales growth of 1.6% vs. the 3.8% consensus. Gross margin grew 30 bps Y/Y, but SG&A as a percentage of sales fell 90 bps Y/Y due to labor/store investments. DG cut its top- and bottom-line targets for the fiscal year, now looking for 1%-2% same-store sales growth [was 3.0%-3.5%] and EPS growth of -8%-0% [was 4%-6%]. Factors contributing to the revised guidance include a weaker consumer spending environment and rising shrink, both of which are prevalent issues affecting numerous retailers. We expect FQ2 [Jul-Q] to be DG's most challenging quarter from both a top- and bottom-line perspective, but see a return to growth in the back half of the fiscal year and through FY 25. While this quarter's results were clearly very disappointing, we think the shares offer an attractive entry point for long-term shareholders. / Arun Sundaram, CFA, CPA

March 16, 2023

12:13 PM ET... CFRA Keeps Buy Opinion on Shares of Dollar General Corporation [DG 214.83****]:

We keep our 12-month target at \$245, 21.7x our FY 24 [Jan.] EPS of \$11.27 [cut from \$11.40; FY 25 set at \$12.83]. DG reported FQ4 [Jan-Q] and FY 23 results, following a pre-announcement several weeks ago. Notable highlights include plans to invest an additional \$100M in its stores during FY 24, with a focus on increasing labor hours rather than hourly rates. Also, DG intends to boost capex, mainly through new distribution centers and store projects. As a result, share repurchases are expected to be lower this year [\$500M vs. \$2.7B in FY 23]. We anticipate that FY 24 earnings growth will be back-end weighted, primarily because DG will be lapping higher supply chain costs, wage investments, and the impact of Winter Storm Elliott. Still, we're optimistic about DG's long-term prospects, as we see plenty of store unit growth runway [DG just entered Mexico] and increased contribution from various strategic initiatives [e.g., DG Media, DG Wellbeing, DG Fresh, NCI, pOps shelf, private brands, private tractor fleet]. / Arun Sundaram, CFA, CPA

February 23, 2023

10:51 AM ET... CFRA Keeps Buy Opinion on Shares of Dollar General Corporation [DG 216.10****]:

We lower our 12-month target to \$245 from \$272, 21.5x our FY 24 [Jan.] EPS of \$11.40 [cut from \$12.66; FY 23 cut to \$10.67 from \$10.95]. DG announces preliminary F4Q [Jan-Q] results. Same-store sales growth was 5.7% [vs. our 6.9% estimate] and EPS will be between \$2.91 to \$2.96 [vs. our \$3.24 estimate]. DG saw strong same-store sales in November [6.7%] and January [6.5%], but December faced a deceleration [4.5%], partly due to Winter Storm Elliott, which also caused inventory damages and weaker-than-expected gross margins. While we were encouraged by the recovery in sales in January, guidance for FY 24 fell short of our expectations, as EPS is expected to grow 4%-6% vs. our prior estimate of +15%. We aren't surprised to see another discount retailer taking a more cautious approach to guidance at the beginning of the year, as the health of the lower-income consumer is in question. We keep a Buy, believing the initiatives DG has in place today will produce strong revenue and earnings growth over the long term. / Arun Sundaram, CFA, CPA

December 01, 2022

12:08 PM ET... CFRA Keeps Buy Opinion on Shares of Dollar General Corporation [DG 235.71****]:

We lower our 12-month target by \$6 to \$272, 21.5x our FY 24 [Jan.] EPS of \$12.66 [down from \$12.96; FY 23 cut to \$10.95 from \$11.41] and in line with DG's average forward P/E. F3Q [Oct-Q] EPS of \$2.33 [+12% Y/Y] missed by \$0.22, but revenues of \$9,465M [+11% Y/Y] beat by \$31M on 6.8% same-store-sales growth vs. 6.2% consensus. The EPS miss was due to unexpected supply chain costs as DG received seasonal goods earlier than expected, while also experiencing delays in opening temporary storage facilities. This issue will persist through F4Q, but should be largely resolved by F1Q of next fiscal year. Still, DG's gross margins were 30.5% vs. 29.5% pre-pandemic [F3Q 2019]. We keep a Buy, noting DG's strong sales momentum across all income cohorts, as well as recent signs of moderating cost pressures. Shipping container costs have meaningfully come down in recent months and should be a large tailwind in FY 24. We're also positive on DG's several initiatives to maintain recent sales momentum and improve margins. / Arun Sundaram, CFA, CPA

August 25, 2022

01:00 PM ET... CFRA Lifts Opinion on Shares of Dollar General Corporation to Buy from Hold [DG 244.01****]:

We lift our 12-month target by \$49 to \$278, 21.5x our FY 24 EPS of \$12.96 [raised from \$12.84; FY 23 lowered to \$11.41 from \$11.48] and a slight premium to DG's five-year average forward P/E of 20.5x. F2Q [Jul-Q] EPS of \$2.98 [+11% Y/Y] beat by \$0.04 on revenues of \$9,426M, \$26M above consensus. Comp sales grew 4.6% Y/Y and 18.7% on a 3-year stack, an acceleration from the F1Q [+17.0% on a 3-year stack]. We were pleasantly surprised to see gross margins expand 70 bps Y/Y to 32.3% vs. 31.3% consensus, despite inflationary pressures and the mix shift to lower-margin consumable products. We think DG can sustain these comp sales trends into FY 24, particularly since more upper-income households are now shopping with DG and experiencing its new initiatives, including DG Fresh, DG Wellbeing, pOps shelf, and its non-consumables initiative. This should also bode well for gross margins and help offset continued investments in labor hours and wages. Share repurchases should also aid EPS growth in FY 23 and FY 24. / Arun Sundaram, CFA, CPA

May 26, 2022

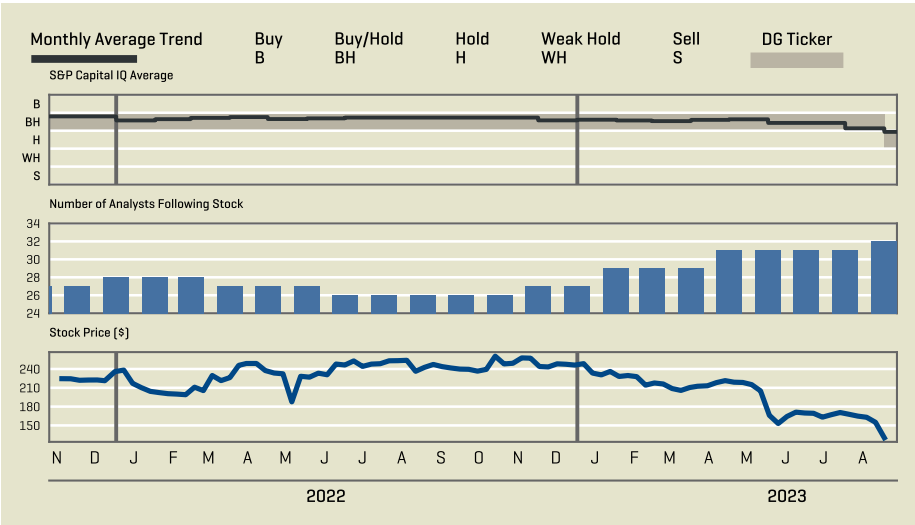
08:55 AM ET... CFRA Keeps Hold Opinion on Shares of Dollar General Corporation [DG 217.00****]:

We keep our 12-month target at \$229, 20x our FY 23 [Jan.] EPS of \$11.48 [raised from \$11.46; FY 23 raised to \$12.84 from \$12.79] and in line with DG's five-year average forward P/E. F1Q [Apr-Q] EPS of \$2.41 [-15% Y/Y] beat by \$0.10 on same-store sales growth of -0.1% vs. -1.0% consensus. Gross margins fell 150 bps Y/Y to 31.3%, which is slightly better than consensus and above our 30.5% estimate. Inventory per store is up 13% Y/Y and 7% Q/Q, which we think is more manageable than some of the big-box retailers with 30%+ Y/Y inventory growth. Overall, we're pleased to see DG still performing well on the bottom line, despite tough comps, shifting consumer habits, and continued cost pressures and supply chain challenges. While DG's value and convenience offering should attract more customers if consumers trade down and shop closer to home, a key risk is the overall financial health of the consumer, particularly lower-income households who we believe are disproportionately impacted by high rates of inflation. / Arun Sundaram, CFA, CPA

Note: Research notes reflect CFRA's published opinions and analysis on the stock at the time the note was published. The note reflects the views of the equity analyst as of the date and time indicated in the note, and may not reflect CFRA's current view on the company.

Dollar General Corporation

Analysts Recommendations



	No. of Recommendations	% of Total	1 Mo.Prior	3 Mos.Prior
Buy	7	22	7	13
Buy/Hold	3	9	3	3
Hold	17	53	17	13
Weak hold	2	6	2	1
Sell	1	3	1	0
No Opinion	2	6	2	1
Total	32	100	32	31

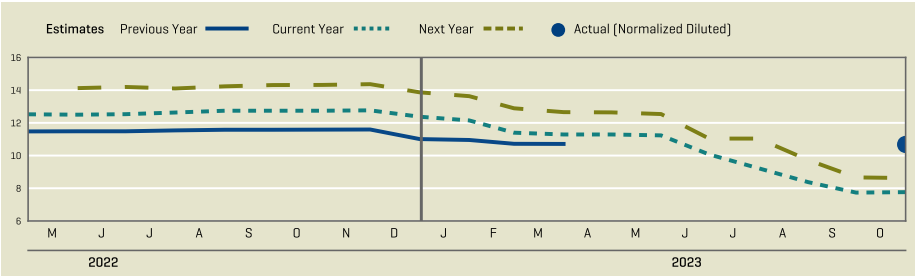
Wall Street Consensus Opinion

Hold

Wall Street Consensus vs. Performance

For fiscal year 2024, analysts estimate that DG will earn USD 7.76. For fiscal year 2025, analysts estimate that DG's earnings per share will grow by 11.13% to USD 8.63.

Wall Street Consensus Estimates



Fiscal Year	Avg Est.	High Est.	Low Est.	# of Est.	Est. P/E
2025	8.63	11.06	7.00	30	12.33
2024	7.76	8.54	7.43	28	13.71
2025 vs. 2024	▲ 11%	▲ 30%	▼ -6%	▲ 7%	▼ -10%
Q3'25	1.71	2.24	1.48	10	62.08
Q3'24	1.30	1.43	1.04	25	81.63
Q3'25 vs. Q3'24	▲ 31%	▲ 57%	▲ 42%	▼ -60%	▼ -24%

Forecasts are not reliable indicator of future performance.
Note: A company's earnings outlook plays a major part in any investment decision. S&P Global Market Intelligence organizes the earnings estimates of over 2,300 Wall Street analysts, and provides their consensus of earnings over the next two years, as well as how those earnings estimates have changed over time. Note that the information provided in relation to consensus estimates is not intended to predict actual results and should not be taken as a reliable indicator of future performance.
Note: For all tables, graphs and charts in this report that do not cite any reference or source, the source is S&P Global Market Intelligence.

Dollar General Corporation

Glossary

STARS

Since January 1, 1987, CFRA Equity and Fund Research Services, and its predecessor S&P Capital IQ Equity Research has ranked a universe of U.S. common stocks, ADRs [American Depositary Receipts], and ADSs [American Depositary Shares] based on a given equity's potential for future performance. Similarly, we have ranked Asian and European equities since June 30, 2002. Under proprietary STARS [Stock Appreciation Ranking System], equity analysts rank equities according to their individual forecast of an equity's future total return potential versus the expected total return of a relevant benchmark [e.g., a regional index (MSCI AC Asia Pacific Index, MSCI AC Europe Index or S&P 500® Index)], based on a 12-month time horizon. STARS was designed to help investors looking to put their investment decisions in perspective. Data used to assist in determining the STARS ranking may be the result of the analyst's own models as well as internal proprietary models resulting from dynamic data inputs.

S&P Global Market Intelligence's Quality Ranking

[also known as **S&P Capital IQ Earnings & Dividend Rankings**] - Growth and S&P Capital IQ Earnings & Dividend Rankings stability of earnings and dividends are deemed key elements in establishing S&P Global Market Intelligence's earnings and dividend rankings for common stocks, which are designed to capsize the nature of this record in a single symbol. It should be noted, however, that the process also takes into consideration certain adjustments and modifications deemed desirable in establishing such rankings. The final score for each stock is measured against a scoring matrix determined by analysis of the scores of a large and representative sample of stocks. The range of scores in the array of this sample has been aligned with the following ladder of rankings:

A+ Highest	B Below Average
A High	B- Lower
A Above	C Lowest
B+ Average	D In Reorganization
NC Not Ranked	

EPS Estimates

CFRA's earnings per share (EPS) estimates reflect analyst projections of future EPS from continuing operations, and generally exclude various items that are viewed as special, non-recurring, or extraordinary. Also, EPS estimates reflect either forecasts of equity analysts; or, the consensus [average] EPS estimate, which are independently compiled by S&P Global Market Intelligence, a data provider to CFRA. Among the items typically excluded from EPS estimates are asset sale gains; impairment, restructuring or merger-related charges; legal and insurance settlements; in process research and development expenses; gains or losses on the extinguishment of debt; the cumulative effect of accounting changes; and earnings related to operations that have been classified by the company as discontinued. The inclusion of some items, such as stock option expense and recurring types of other charges, may vary, and depend on such factors as industry practice, analyst judgment, and the extent to which some types of data is disclosed by companies.

12-Month Target Price

The equity analyst's projection of the market price a given security will command 12 months hence, based on a combination of intrinsic, relative, and private market valuation metrics, including Fair Value.

Abbreviations Used in Equity Research Reports

- CAGR - Compound Annual Growth Rate
- CAPEX - Capital Expenditures
- CY - Calendar Year
- DCF - Discounted Cash Flow
- DDM - Dividend Discount Model
- EBIT - Earnings Before Interest and Taxes
- EBITDA - Earnings Before Interest, Taxes, Depreciation & Amortization
- EPS - Earnings Per Share
- EV - Enterprise Value
- FCF - Free Cash Flow
- FFO - Funds From Operations
- FY - Fiscal Year
- P/E - Price/Earnings
- P/NAV - Price to Net Asset Value
- PEG Ratio - P/E-to-Growth Ratio
- PV - Present Value
- R&D - Research & Development
- ROCE - Return on Capital Employed
- ROE Return on Equity
- ROI - Return on Investment
- ROIC - Return on Invested Capital
- ROA - Return on Assets
- SG&A - Selling, General & Administrative Expenses
- SOTP - Sum-of-The-Parts
- WACC - Weighted Average Cost of Capital

Dividends on American Depositary Receipts (ADRs) and American Depositary Shares (ADSs) are net of taxes (paid in the country of origin).

Qualitative Risk Assessment

Reflects an equity analyst's view of a given company's operational risk, or the risk of a firm's ability to continue as an ongoing concern. The Qualitative Risk Assessment is a relative ranking to the U.S. STARS universe, and should be reflective of risk factors related to a company's operations, as opposed to risk and volatility measures associated with share prices. For an ETF this reflects on a capitalization-weighted basis, the average qualitative risk assessment assigned to holdings of the fund.

STARS Ranking system and definition:

★★★★★ 5-STARs (Strong Buy):

Total return is expected to outperform the total return of a relevant benchmark, by a notable margin over the coming 12 months, with shares rising in price on an absolute basis.

★★★★★ 4-STARs (Buy):

Total return is expected to outperform the total return of a relevant benchmark over the coming 12 months.

★★★★★ 3-STARs (Hold):

Total return is expected to closely approximate the total return of a relevant benchmark over the coming 12 months.

★★★★★ 2-STARs (Sell):

Total return is expected to underperform the total return of a relevant benchmark over the coming 12 months.

★★★★★ 1-STAR (Strong Sell):

Total return is expected to underperform the total return of a relevant benchmark by a notable margin over the coming 12 months, with shares falling in price on an absolute basis.

Relevant benchmarks:

In North America, the relevant benchmark is the S&P 500 Index, in Europe and in Asia, the relevant benchmarks are the MSCI AC Europe Index and the MSCI AC Asia Pacific Index, respectively.



Dollar General Corporation

Disclosures

Stocks are ranked in accordance with the following ranking methodologies:

STARS Stock Reports:

Qualitative STARS rankings are determined and assigned by equity analysts. For reports containing STARS rankings refer to the Glossary section of the report for detailed methodology and the definition of STARS rankings.

Quantitative Stock Reports:

Quantitative rankings are determined by ranking a universe of common stocks based on 5 measures or model categories: Valuation, Quality, Growth, Street Sentiment, and Price Momentum. In the U.S., a sixth sub-category for Financial Health will also be displayed. Percentile scores are used to compare each company to all other companies in the same universe for each model category. The five [six] model category scores are then weighted and rolled up into a single percentile ranking for that company. For reports containing quantitative rankings refer to the Glossary section of the report for detailed methodology and the definition of Quantitative rankings.

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STARS Stock Reports:

Global STARS Distribution as of September 30, 2023

Ranking	North America	Europe	Asia	Global
Buy	36.8%	34.5%	41.6%	37.4%
Hold	53.8%	51.2%	50.3%	52.6%
Sell	9.4%	14.3%	8.1%	10.1%
Total	100.0%	100.0%	100.0%	100.0%

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